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## Company Update

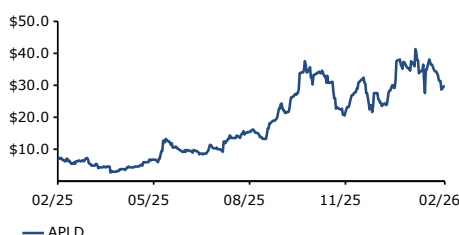
### Profile

|                              |                  |
|------------------------------|------------------|
| Price                        | \$30.00          |
| Rating                       | Buy              |
| Price Target                 | \$40.00          |
| 52 Week Range                | \$3.31 - \$42.27 |
| Avg. Daily Vol (M)           | 30.624           |
| Shares Out (M)               | 279.6            |
| Market Cap (M)               | \$8,388          |
| Enterprise Value (\$M)       | \$8,876          |
| Net Cash (M)                 | \$(488)          |
| Insiders Own                 | 9%               |
| Shares Short / Days to Cover | 86.6M / 2        |
| Book Val./Sh.                | \$5.19           |
| Fiscal Year Ends:            | May              |

### Estimates

|               |    | 2025A | 2026E  | 2027E |
|---------------|----|-------|--------|-------|
| Revenue (\$M) | Q1 | 60.7  | 64.2A  | 77.9  |
|               | Q2 | 63.9  | 126.6A | 131.3 |
|               | Q3 | 52.9  | 77.0   | 144.6 |
|               | Q4 | 38.0  | 77.9   | 147.0 |
|               | FY | 144.2 | 343.2  | 500.8 |
| EV/Revenue    |    | 61.6x | 25.9x  | 17.7x |
| EBITDA        | Q1 | 20.0  | 0.5A   | 33.2  |
|               | Q2 | 21.4  | 20.2A  | 79.5  |
|               | Q3 | 10.6  | 31.9   | 90.0  |
|               | Q4 | 1.0   | 33.2   | 91.2  |
|               | FY | 19.6  | 87.4   | 294.1 |
| EV/EBITDA     |    | NM    | NM     | 30.2x |

### Performance Chart



Information Technology: Software & Services

## Applied Digital Corporation (APLD)

## What Would A Run The Table Scenario Look Like? Reiterate BUY Rating, \$40 Price Target.

### OUR CALL

Applied has done an admirable job combining early moves to find power, achieve regulatory approvals, obtain supply chain, and ultimately execute on its initial AI delivery. As a result, it has now executed on 600 MW of leases at its first two campuses (400 MW at Ellendale + 200 MW at Harwood), with an additional 1.8 GW available over the long-term at those campuses (including another 100 MW expected available at Harwood in near-term). Beyond this, it has acquired land in Louisiana and has begun hiring staff to execute on additional campuses, and we believe in total there are up to three locations with up to 300MW *each* of potential deals in the works. While the deals signed to date create a powerful embedded base for EBITDA growth, we thought it would be helpful to address the very real scenario that the company could run the table with these deals in the relatively near-term pipeline, particularly with the attractive potential of paying down its Macquarie project finance deals as they hit their MOIC return requirements, which can be paid out through refinancing (likely ABS) or equity at what we expect might be meaningfully different valuations. We note that the deals we model out do not include the much larger portion of the several GW power pipeline that hasn't reached the definition of those deals referenced above. Important in the deal scrutiny (and valuation) will be the ultimate off-take counterparties which we would expect will be highly rated hyperscaler customers, enabling attractive financing rates. While investors have obviously been pleased with the performance to date, we see the stock remaining at a very attractive risk-reward given the very real potential of the scenario we have laid out.

### KEY TAKEAWAYS

- We see ~\$56-\$70 share potential in the scenario that the company adds another 100 MW at Harwood and signs the 900 MW of capacity being marketed across three other sites.
- Under this scenario the company would have **1.6 GW** of contracted power which we expect could generate **~\$2.3B** in NOI and be worth **~\$41B** in total value.
- We use varying NOI multiples across sites that together result in a blended ~18x multiple, a modest discount to established REITs like Digital Realty and Equinix.
- The first of the Southern U.S. sites appears to be in Louisiana, with the company having already purchased land and into the hiring/contracting phase.
- We expect the Macquarie preferred investment to be redeemed after five years, at which time the company will also be in a position to refinance its project level debt with lower cost asset backed securities (based on cash flow).
- Maintaining \$40 price target, but gaining confidence that the company could quickly grow its contracted MW and fulfill a Goldilocks scenario that the current \$30 stock doesn't reflect.

Source: FactSet

Please see analyst certification and important disclosures on page 8 of this report.

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**DETAILED INFORMATION**

**Reminder of the relevant sites.** APLD has signed contracts at two sites with two different customers, and we expect the next announcement to bring a third site/customer into the mix. All MW references below are critical IT load.

- **Ellendale.** 400 MW signed with CoreWeave and management has indicated that over the long-term the site could reach up to 1.4 GW. The first 100 MW have been successfully delivered with another 150 MW expected this year and the remaining 150 MW coming in 2027.
- **Harwood.** 200 MW has been signed with an unnamed IG hyperscaler. The 200 MWs are expected to be ready in phases starting this year and running into next year, and there is another 100 MW that hasn't yet been contracted, but we think could be ready for service next year. Management has indicated this site can reach up to 1 GW, and the unnamed customer has a ROFR on the additional 800 MW.
- **Louisiana.** Formally announced as a 300 MW site in a "southern U.S. market," several factors (job postings, local news, county records) identify this site as being in Alexandria, Louisiana. Initial operations are expected to commence in 2027, and another investment grade hyperscaler is the counterparty in negotiation.
- **Other.** We understand that there are at least two other similar sized (~300 MW) sites in either the Southern U.S. or Midwest where the company is in active negotiations, with past comments from management pointing to the fact that it could be the same off-taker negotiating in Louisiana. Additionally, should South Dakota adopt sales tax exemptions on data center equipment (which over 40 other states have), we would expect future deals to show up there (tracking local progress on one site in particular). That said, recent regulatory activity has been less than encouraging.

**Macquarie Preferred.** We think there remains some confusion surrounding the structure of the Macquarie preferred investments. Simply put, we expect Macquarie to continue investing \$2.25M per contracted MW (was \$1.13M per MW at Ellendale), which, using a baseline assumption of \$12M in capex per MW, means they will be funding just under 20% of the capex on each project. The preferred units pay interest at 12.75%, and along with this Macquarie also gets what is essentially a 15% (7.5% at Ellendale) share in the equity at each site. Importantly, after five years the units are redeemable at the greater of 1) 1.8x the invested amount or 2) the accreted amount plus the fair market value of common units (the 15% share). We believe the company entirely plans on redeeming these units at the 5-year mark and expect the company to ultimately take the preferred out under option #2 (given our assumption that the fair market value will push redemption well above the 1.8x MOIC). In the scenario the company pays the dividend in cash, the redemption value will be the face value plus the fair market value on the equity portion, while if they PIK the dividend our math says the redemption value will be just over 1.8x the original investment (the accreted amount) plus the fair market value on the equity portion. The table below sets the redemption scenarios side by side.

| Payout Scenarios on \$100M MAM Preferred Investment |              |              |
|-----------------------------------------------------|--------------|--------------|
|                                                     | Cash         | PIK          |
| Year 1-5 Cash Interest                              | \$64M        | \$0M         |
| Accreted Amount                                     | \$100M       | \$182M       |
| Redemption Amount                                   | \$100M + FMV | \$182M + FMV |
| Total Cash Paid                                     | \$164M + FMV | \$182M + FMV |
| Minimum Capital Returned                            | \$180M       | \$180M       |

Source: Company Filings, CHLM Reports

**Debt (re) financing.** Project level debt has been partially secured for Ellendale (\$2.35B so far, which supports the first 250 MW) at a cost of 9.25%. We expect another portion of debt to be raised for the last building at Ellendale (would expect roughly the same terms; management has indicated there could be improvements) and expect Harwood to follow. We think that in conjunction with taking out the Macquarie preferred in ~5 years, the company will also look to refinance project level debt with asset backed security financing (note the first secured note has a 5-year term). While initial project level debt is raised based on loan-to-cost (LTC), the ABS financing would be based on the project's cash flows, which at that point we expect would be positive on a fully burdened basis (given growing cash rent while debt amortizes down). Based on other security issuances from players like Vantage Data Centers and Compass Datacenters who have issued securities backed by hyperscaler leases, we believe the refinancing would come several hundred basis points lower the initial secured term loans which ultimately unlocks more cash flow over the remaining life of the site. Additionally, we think the company could re-up its leverage at this point (debt at Ellendale will be amortized down to less than 60% of cost after five years) and raise enough to cover the cost of retiring the Macquarie investment. In total, while it doesn't change the near-term cash flow dynamics of the sites, we think this 5-year juncture will ultimately be managed to create a more attractive 15-year cash flow profile of the sites.

## RUNNING THE TABLE

Here we run the numbers on what APLD's stock could look like if it adds the next 100 MW at Harwood (the capacity that could be ready in nearer-term) and signs a tenant for the 900 MW of other sites (three sites, one of which is Louisiana). This would bring the company's contracted capacity to 1.6 GW, much of which we think could be ready by year-end 2027, and in no way considers the long-term expansion at Ellendale and Harwood, which we do think remain viable long-term options. We apply varying multiples across the sites based on how we see the ultimate attractiveness of the end users, with CoreWeave (Ellendale) in our view being a harder to finance customer (9.25% debt raised for the site) while the investment grade hyperscaler at Harwood likely yields slightly better financing. As for the 900 MW, our best guess is the that the end customer in negotiation for those sites is likely one of the top tier hyperscalers which in our view will warrant the best outcome in terms of financing/valuation.

**In total, we believe the 1.6 GW could generate ~\$2.3B in annual NOI and be worth ~\$41B in total value based the NOI multiples that we apply to each site (which blend to ~18x).** With established players (Digital Realty, Equinix) trading at ~22x EV/EBITDA, on one hand we think our multiple could be conservative given that APLD is operating exclusively in the very attractive data center space with some of the fastest growing tenants in the market. That said, we are comfortable using a modest discount given the more limited operating history, customer concentration, and lack of the REIT structure advantages that those companies have.

When accounting for the debt that would be raised (we assume ~80% LTC), and the Macquarie preferred dividend / 15% share, **we arrive at a residual equity value of just over \$19.5B, or ~\$56 a share (assumes modest dilution from current level in share count).** In the bottom right we show how this would change based on various NOI margins and NOI multiples applied to the 900 MW of sites where we don't yet have any information regarding customer/economics. As you can see, a modest increase in the multiple (22x - 23x vs the 20x we use) would yield a stock upwards of \$70. See the next page for more details on how we arrive at our values for each site.

While we are maintaining our \$40 price target (which assumes probability weighted and discounted values for sites beyond Ellendale) we view this analysis as a scenario that investors should be aware of given what we think has become an increasing likelihood that the company does in fact "run the table."

| Ellendale (Contracted MW) |         | Harwood (Contracted MW) |        | Harwood (Not Contracted) |        | Other 900 MW (Not Contracted) |         |
|---------------------------|---------|-------------------------|--------|--------------------------|--------|-------------------------------|---------|
| Megawatts                 | 400     | Megawatts               | 200    | Megawatts                | 100    | Megawatts                     | 900     |
| Annual Revenue            | 712     | Annual Revenue          | 335    | Annual Revenue           | 167    | Annual Revenue                | 1,440   |
| NOI Margin                | 85%     | NOI Margin              | 85%    | NOI Margin               | 85%    | NOI Margin                    | 85%     |
| Annual NOI                | 605     | Annual NOI              | 285    | Annual NOI               | 142    | Annual NOI                    | 1,224   |
| Multiple                  | 15.0x   | Multiple                | 17.5x  | Multiple                 | 17.5x  | Multiple                      | 20.0x   |
| Total Value               | 9,075   | Total Value             | 4,980  | Total Value              | 2,490  | Total Value                   | 24,480  |
| (-) Debt                  | 3,760   | (-) Debt                | 1,920  | (-) Debt                 | 960    | (-) Debt                      | 8,640   |
| (-) Macquarie Preferred   | 450     | (-) Macquarie Preferred | 450    | (-) Macquarie Preferred  | 225    | (-) Macquarie Preferred       | 2,025   |
| (-) Macquarie 7.5% Stake  | 365     | (-) Macquarie 15% Stake | 391    | (-) Macquarie 15% Stake  | 196    | (-) Macquarie 15% Stake       | 2,072   |
| APLD Equity Value         | 4,500   | APLD Equity Value       | 2,218  | APLD Equity Value        | 1,109  | APLD Equity Value             | 11,743  |
| Per Share                 | \$12.86 | Per Share               | \$6.34 | Per Share                | \$3.17 | Per Share                     | \$33.55 |

| Combined Value           |         | Multiple |       |       |       |       |       |       |
|--------------------------|---------|----------|-------|-------|-------|-------|-------|-------|
| MW                       | 1,600   | 17.0x    | 18.0x | 19.0x | 20.0x | 21.0x | 22.0x | 23.0x |
| NOI                      | 2,256   |          |       |       |       |       |       |       |
| Total Value              | 41,025  |          |       |       |       |       |       |       |
| Implied Blended Multiple | 18.2x   |          |       |       |       |       |       |       |
| APLD Equity Value        | 19,570  |          |       |       |       |       |       |       |
| Per Share                | \$55.92 |          |       |       |       |       |       |       |

| NOI Margin | 92.5% | \$51.46 | \$54.69 | \$57.93 | \$61.16 | \$64.40 | \$67.63 | \$70.87 |
|------------|-------|---------|---------|---------|---------|---------|---------|---------|
|            | 90.0% | \$49.97 | \$53.12 | \$56.27 | \$59.41 | \$62.56 | \$65.71 | \$68.85 |
|            | 87.5% | \$48.48 | \$51.54 | \$54.60 | \$57.66 | \$60.72 | \$63.78 | \$66.84 |
|            | 85.0% | \$47.00 | \$49.97 | \$52.94 | \$55.92 | \$58.89 | \$61.86 | \$64.83 |
|            | 82.5% | \$45.51 | \$48.40 | \$51.28 | \$54.17 | \$57.05 | \$59.94 | \$62.82 |
|            | 80.0% | \$44.03 | \$46.82 | \$49.62 | \$52.42 | \$55.22 | \$58.01 | \$60.81 |
|            | 78.5% | \$43.13 | \$45.88 | \$48.62 | \$51.37 | \$54.11 | \$56.86 | \$59.60 |

Source: Company Reports, CHLM Research

| Project Breakdown    |       |          |            |            |       |          |             |        |     |        |          |              |                  |              |           |             |        |                 |
|----------------------|-------|----------|------------|------------|-------|----------|-------------|--------|-----|--------|----------|--------------|------------------|--------------|-----------|-------------|--------|-----------------|
| Project Breakdown    | MW    | Rev / MW | Annual Rev | NOI Margin | NOI   | Multiple | Total Value | Capex  | LTC | Debt   | MAM / MW | MAM Invstmt. | Pref. Redemption | Equity Value | MAM Share | APLD Equity | Shares | Value per Share |
| Ellendale            | 400   | 1.78     | 712        | 85%        | 605   | 15.0x    | 9,075       | 4,800  | 78% | 3,760  | 1.13     | 450          | 450              | 4,865        | 8%        | 4,500       | 350    | \$ 12.86        |
| Harwood - Contracted | 200   | 1.67     | 335        | 85%        | 285   | 17.5x    | 4,980       | 2,400  | 80% | 1,920  | 2.25     | 450          | 450              | 2,610        | 15%       | 2,218       | 350    | \$ 6.34         |
| Harwood - Option     | 100   | 1.67     | 167        | 85%        | 142   | 17.5x    | 2,490       | 1,200  | 80% | 960    | 2.25     | 225          | 225              | 1,305        | 15%       | 1,109       | 350    | \$ 3.17         |
| Southern Sites       | 900   | 1.60     | 1,440      | 85%        | 1,224 | 20.0x    | 24,480      | 10,800 | 80% | 8,640  | 2.25     | 2,025        | 2,025            | 13,815       | 15%       | 11,743      | 350    | \$ 33.55        |
| Total                | 1,600 | 1.66     | 2,654      | 85%        | 2,256 | 18.2x    | 41,025      | 19,200 | 80% | 15,280 | 1.97     | 3,150        | 3,150            | 22,595       | 13.39%    | 19,570      | 350    | \$ 55.92        |

Source: Company Reports, CHLM Filings

Revenue per MW reflects average over lifetime of contract.

Cost assumes capex of \$12M per MW.

Equity Value is calculated as Total Value - Preferred Redemption - Debt.

## Stock Opportunity for APLD

We are maintaining our \$40 price target. Our price target is a sum of the parts where we take our estimated value of the 400 MW of signed capacity at Ellendale and 300 MW of signed/expected capacity at Harwood, and then add discounted values for the company's 900 MW that is in early stage negotiations. We are not applying any value to the company's expansion power at Ellendale and Harwood. Note that while the company has announced a deal for 200 MW at Harwood, we see a very high likelihood that the company ultimately signs leases for the full 300 MW of initial availability and, as such, are no longer applying a probability weighted discount to the extra 100 MW. With clear progress across the company's additionally disclosed 900 MW of additional sites, we are bumping our probability on those sites from 50% to 65% and applying less of a time discount than we previously were given what we think has been recent progress. Given our approach, should the company sign a new customer/site this year (which we think is likely), it would provide upside to our valuation, as we outline above. Given that the company's focus now already spans several sites, we aren't giving any value in our valuation (or the analysis above) to the expansion capacity at Ellendale and Harwood, but do think that these options will play into the long-term flywheel. We are not accounting for any value created through other parts of the business, including the digital cloud business, which we think could change upon a successful merger with EKSQ.

## Risks for APLD

**We believe an investment in Applied Digital involves the following risks:**

- **Aggressive spec build has stressed the balance sheet:** To meet speed to market demands from potential customers, the company has spent several hundred million using its own balance sheet, in advance of a binding contract. This has put unique stress on its balance sheet and has resulted in share dilution.
- **Crypto Dependency:** Applied Digital is reliant on demand from crypto miners in search of hosting space. Severe dislocations in the market may negatively affect demand.
- **Supply Chain Risk:** The current development plan may be negatively affected by prolonged supply chain disruptions.
- **Key Partners:** Applied Digital is reliant on key partners to fill out its data centers. While we see plenty of available demand in the market, loss of a key partner could materially affect the business.

Applied Digital Corporation

|                            | FY2022<br>May-22 | FY2023<br>May-23 | 1Q24<br>Aug-23 | 2Q24<br>Nov-23 | 3Q24<br>Feb-24 | 4Q24<br>May-24 | FY2024<br>May-24 | 1Q25<br>Aug-24 | 2Q25<br>Nov-24 | 3Q25<br>Feb-25 | 4Q25<br>May-25 | FY2025<br>May-25 | 1Q26<br>Aug-25 | 2Q26<br>Nov-25 | 3Q26E<br>Feb-26 | 4Q26E<br>May-26 | FY2026E<br>May-26 | 1Q27E<br>Aug-26 | 2Q27E<br>Nov-26 | 3Q27E<br>Feb-27 | 4Q27E<br>May-27 | FY2027E<br>May-27 |
|----------------------------|------------------|------------------|----------------|----------------|----------------|----------------|------------------|----------------|----------------|----------------|----------------|------------------|----------------|----------------|-----------------|-----------------|-------------------|-----------------|-----------------|-----------------|-----------------|-------------------|
| <b>INCOME STATEMENT</b>    |                  |                  |                |                |                |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                 |                 |                 |                 |                   |
| GAAP Revenue               | 8,549            | 55,392           | 36,323         | 42,203         | 43,348         | 43,699         | 165,573          | 60,704         | 63,868         | 52,921         | 38,013         | 144,193          | 64,216         | 126,589        | 88,521          | 89,403          | 368,729           | 89,403          | 157,647         | 175,657         | 178,040         | 600,747           |
| Adjusted Revenue           | 8,549            | 55,392           | 36,323         | 42,203         | 43,348         | 43,699         | 165,573          | 60,704         | 63,868         | 52,921         | 38,013         | 144,193          | 64,216         | 124,077        | 77,033          | 77,915          | 343,241           | 77,915          | 131,254         | 144,607         | 146,990         | 500,766           |
| Cost of Revenue            | 9,506            | 44,388           | 24,398         | 29,222         | 47,061         | 46,289         | 146,970          | 61,060         | 52,361         | 49,141         | 30,247         | 101,451          | 55,606         | 100,553        | 47,045          | 46,762          | 249,966           | 46,762          | 68,376          | 74,994          | 75,304          | 265,436           |
| Gross Profit               | (957)            | 11,004           | 11,925         | 12,981         | (3,713)        | (2,590)        | 18,603           | (356)          | 11,507         | 3,780          | 7,766          | 42,742           | 8,610          | 26,036         | 41,477          | 42,641          | 118,763           | 42,641          | 89,270          | 100,663         | 102,737         | 335,311           |
| General & Administrative   | 19,892           | 52,112           | 13,868         | 21,075         | 30,386         | 31,318         | 96,647           | 14,341         | 29,789         | 22,723         | 28,096         | 83,065           | 29,152         | 56,993         | 30,097          | 30,397          | 146,639           | 30,397          | 30,741          | 31,618          | 32,492          | 125,249           |
| Other                      | 49               | 2,947            | 3,184          | 80             | 21,723         | (6,306)        | 18,681           | (24,180)       | 333            | -              | 369            | (23,478)         | 1,751          | -              | -               | -               | 1,751             | -               | -               | -               | -               | -                 |
| Operating Costs            | 19,941           | 55,059           | 17,052         | 21,155         | 52,109         | 25,012         | 115,328          | (9,839)        | 30,122         | 22,723         | 28,465         | 59,587           | 30,903         | 56,993         | 30,097          | 30,397          | 148,390           | 30,397          | 30,741          | 31,618          | 32,492          | 125,249           |
| Operating Income           | (20,898)         | (44,055)         | (5,127)        | (8,174)        | (55,822)       | (27,602)       | (96,725)         | 9,483          | (18,615)       | (18,943)       | (20,699)       | (16,845)         | (22,293)       | (30,957)       | 11,379          | 12,244          | (29,627)          | 12,244          | 58,529          | 69,045          | 70,244          | 210,062           |
| Interest Expense           | (112)            | (1,980)          | (2,074)        | (2,355)        | (4,404)        | (18,303)       | (27,136)         | (7,308)        | (7,482)        | (8,897)        | (4,497)        | (14,739)         | (3,946)        | (11,484)       | (76,224)        | (68,686)        | (160,340)         | (68,686)        | (68,686)        | (68,686)        | (68,686)        | (274,744)         |
| Other Expense              | (936)            | (94)             | (4,653)        | -              | (2,612)        | (18,755)       | (26,020)         | (6,422)        | (112,628)      | (7,598)        | -              | (126,649)        | -              | 15,893         | -               | -               | 15,893            | -               | -               | -               | -               | -                 |
| Total Other Income         | (1,048)          | (2,074)          | (6,727)        | (2,355)        | (7,016)        | (37,058)       | (53,156)         | (13,730)       | (120,110)      | (16,495)       | (4,497)        | (141,388)        | (3,946)        | 4,409          | (76,224)        | (68,686)        | (144,447)         | (68,686)        | (68,686)        | (68,686)        | (68,686)        | (274,744)         |
| Income Before Tax          | (21,946)         | (46,129)         | (11,854)       | (10,529)       | (62,838)       | (64,660)       | (149,881)        | (4,247)        | (138,725)      | (35,438)       | (25,196)       | (158,233)        | (26,239)       | (26,548)       | (64,845)        | (56,442)        | (174,074)         | (56,442)        | (10,157)        | 359             | 1,558           | (64,682)          |
| Tax                        | 540              | (523)            | -              | -              | -              | 96             | 96               | -              | 1              | 117            | (16)           | 102              | 8              | 15             | -               | -               | 23                | -               | -               | -               | -               | -                 |
| Net Loss from Continuing   | (22,486)         | (45,606)         | (11,854)       | (10,529)       | (62,838)       | (64,756)       | (149,977)        | (4,247)        | (138,726)      | (35,555)       | (25,180)       | (203,708)        | (26,247)       | (26,563)       | (64,845)        | (56,442)        | (174,097)         | (56,442)        | (10,157)        | 359             | 1,558           | (64,682)          |
| Preferred Dividends        | -                | -                | -              | -              | -              | -              | -                | (44)           | (629)          | (540)          | (1,402)        | (2,615)          | (1,576)        | (1,571)        | (1,500)         | (1,500)         | (6,147)           | (1,500)         | (1,500)         | (1,500)         | (1,500)         | (6,000)           |
| Net Income To Shareholders | (22,486)         | (45,606)         | (11,854)       | (10,529)       | (62,838)       | (64,756)       | (149,977)        | (4,291)        | (139,355)      | (36,095)       | (53,939)       | (233,680)        | (18,502)       | (19,082)       | (83,345)        | (74,942)        | (192,810)         | (74,942)        | (28,657)        | (18,141)        | (16,942)        | (138,682)         |
| EPS                        | \$ (0.39)        | \$ (0.49)        | \$ (0.12)      | \$ (0.10)      | \$ (0.52)      | \$ (0.52)      | \$ (1.25)        | \$ (0.03)      | \$ (0.66)      | \$ (0.16)      | \$ (0.24)      | \$ (1.10)        | \$ (0.07)      | \$ (0.07)      | \$ (0.30)       | \$ (0.27)       | \$ (0.71)         | \$ (0.26)       | \$ (0.10)       | \$ (0.06)       | \$ (0.06)       | \$ (0.47)         |
| Diluted Shares             | 57,121           | 93,976           | 100,522        | 109,663        | 121,427        | 124,667        | 114,069          | 149,009        | 209,560        | 222,455        | 224,307        | 201,333          | 255,893        | 277,424        | 279,424         | 281,424         | 273,541           | 291,424         | 293,424         | 295,424         | 297,424         | 294,424           |
| Adj. EBITDA                | (6,036)          | (146)            | 9,619          | 10,624         | (2,346)        | 4,794          | 22,691           | 19,993         | 21,362         | 10,555         | 980            | 19,627           | 537            | 20,200         | 31,879          | 33,244          | 87,436            | 33,244          | 79,529          | 90,045          | 91,244          | 294,062           |
| <b>MARGINS</b>             |                  |                  |                |                |                |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                 |                 |                 |                 |                   |
| Gross Margin               | -11.2%           | 19.9%            | 32.8%          | 30.8%          | -8.6%          | -5.9%          | 11.2%            | -0.6%          | 18.0%          | 7.1%           | 20.4%          | 29.6%            | 13.4%          | 21.0%          | 53.8%           | 54.7%           | 34.6%             | 54.7%           | 68.0%           | 69.6%           | 69.9%           | 67.0%             |
| General & Administrative   | 232.7%           | 94.1%            | 38.2%          | 49.9%          | 70.1%          | 71.7%          | 58.4%            | 23.6%          | 46.6%          | 42.9%          | 73.9%          | 57.6%            | 45.4%          | 45.9%          | 34.0%           | 34.0%           | 42.7%             | 34.0%           | 19.5%           | 18.0%           | 18.3%           | 25.0%             |
| Operating Margin           | -244.4%          | -79.5%           | -14.1%         | -19.4%         | -128.8%        | -63.2%         | -58.4%           | 15.6%          | -29.1%         | -35.8%         | -54.5%         | -11.7%           | -34.7%         | -24.9%         | 14.8%           | 15.7%           | -8.6%             | 15.7%           | 44.6%           | 47.7%           | 47.8%           | 41.9%             |
| Tax                        | -2.5%            | 1.1%             | 0.0%           | 0.0%           | 0.0%           | -0.1%          | -0.1%            | 0.0%           | 0.0%           | -0.3%          | 0.1%           | -0.1%            | 0.0%           | -0.1%          | 0.0%            | 0.0%            | 0.0%              | 0.0%            | 0.0%            | 0.0%            | 0.0%            | 0.0%              |
| Net Income                 | -263.0%          | -82.3%           | -32.6%         | -24.9%         | -145.0%        | -148.2%        | -90.6%           | -7.1%          | -218.2%        | -68.2%         | -141.9%        | -162.1%          | -28.8%         | -15.4%         | -108.2%         | -96.2%          | -56.2%            | -96.2%          | -21.8%          | -12.5%          | -11.5%          | -27.7%            |
| Adj. EBITDA                | -70.6%           | -0.3%            | 26.5%          | 25.2%          | -5.4%          | 11.0%          | 13.7%            | 32.9%          | 33.4%          | 19.9%          | 2.6%           | 13.6%            | 0.8%           | 16.3%          | 41.4%           | 42.7%           | 25.5%             | 42.7%           | 60.6%           | 62.3%           | 62.1%           | 58.7%             |
| <b>GROWTH</b>              |                  |                  |                |                |                |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                 |                 |                 |                 |                   |
| Revenue                    | NM               | 547.9%           | 424.6%         | 242.0%         | 207.7%         | 98.3%          | 198.9%           | 67.1%          | 51.3%          | 22.1%          | -13.0%         | -12.9%           | 5.8%           | 98.2%          | 67.3%           | 135.2%          | 155.7%            | 39.2%           | 24.5%           | 98.4%           | 99.1%           | 62.9%             |
| Revenue (seq.)             | NM               | NM               | 64.8%          | 16.2%          | 2.7%           | 0.8%           | NM               | 38.9%          | 5.2%           | -17.1%         | -28.2%         | NM               | 68.9%          | 97.1%          | -30.1%          | 1.0%            | NM                | 0.0%            | 76.3%           | 11.4%           | 1.4%            | NM                |
| Operating Income           | NM               | 110.6%           | 22.7%          | -69.4%         | 702.4%         | 342.1%         | 119.6%           | -285.0%        | 127.7%         | -66.1%         | -25.0%         | -82.6%           | -335.1%        | 66.3%          | -160.1%         | -159.2%         | 75.9%             | -154.9%         | -289.1%         | 506.8%          | 473.7%          | -809.0%           |
| Net Income                 | NM               | 102.8%           | 154.4%         | -60.6%         | 756.0%         | 844.5%         | 228.9%           | -63.8%         | 1223.5%        | -42.6%         | -16.7%         | 55.8%            | 331.2%         | -86.3%         | 130.9%          | 38.9%           | -17.5%            | 305.0%          | 50.2%           | -78.2%          | -77.4%          | -28.1%            |
| EPS                        | NM               | NM               | 135.7%         | -66.5%         | 563.5%         | 620.9%         | 157.2%           | -75.6%         | 592.6%         | -68.6%         | -53.7%         | -12.3%           | 151.1%         | -89.7%         | 83.8%           | 10.7%           | -35.6%            | 255.7%          | 42.0%           | -79.4%          | -78.6%          | -32.9%            |
| Ad. EBITDA                 | NM               | -97.6%           | -618.8%        | -598.3%        | -357.8%        | 63.6%          | NM               | 107.8%         | 101.1%         | -549.9%        | -79.6%         | -13.5%           | -97.3%         | -5.4%          | 202.0%          | 3292.2%         | 345.5%            | 6090.6%         | 293.7%          | 182.5%          | 174.5%          | 236.3%            |

\* Margins are based on adjusted revenue which excludes the power pass through.

\* Results prior to 4Q25 include the cloud services segment. 4Q25 and on (inc. FY25) are ex.Cloud Services.

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|                                       | FY2022          | FY2023           | 1Q24            | 2Q24            | 3Q24            | 4Q24            | FY2024           | 1Q25            | 2Q25             | 3Q25             | 4Q25             | FY2025           | 1Q26             | 2Q26             | 3Q26E           | 4Q26E           | FY2026E          | 1Q27E           | 2Q27E        | 3Q27E         | 4Q27E         | FY2027E       |
|---------------------------------------|-----------------|------------------|-----------------|-----------------|-----------------|-----------------|------------------|-----------------|------------------|------------------|------------------|------------------|------------------|------------------|-----------------|-----------------|------------------|-----------------|--------------|---------------|---------------|---------------|
|                                       | May-22          | May-23           | Aug-23          | Nov-23          | Feb-24          | May-24          | May-24           | Aug-24          | Nov-24           | Feb-25           | May-25           | May-25           | Aug-25           | Nov-25           | Feb-26          | May-26          | May-26           | Aug-26          | Nov-26       | Feb-27        | May-27        | May-27        |
| <b>STATEMENT OF CASH FLOWS</b>        |                 |                  |                 |                 |                 |                 |                  |                 |                  |                  |                  |                  |                  |                  |                 |                 |                  |                 |              |               |               |               |
| Net Income From Continuing Ops        | (22,486)        | (45,606)         | (11,854)        | (10,529)        | (62,838)        | (64,756)        | (149,977)        | (4,247)         | (138,726)        | (35,555)         | (52,537)         | (231,065)        | (16,926)         | (14,450)         | (64,845)        | (56,442)        | (152,663)        | (56,442)        | (10,157)     | 359           | 1,558         | (64,682)      |
| Depreciation and Amortization         | 1,008           | 7,267            | 7,860           | 13,424          | (8,385)         | 66,461          | 79,360           | 34,361          | 26,400           | 18,779           | 18,405           | 97,945           | 4,152            | 8,587            | 7,000           | 7,500           | 27,239           | 7,500           | 7,500        | 7,500         | 7,500         | 30,000        |
| Extinguishment of Debt                | 1,342           | 94               | -               | 2,353           | -               | 154             | 2,507            | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Extinguishment of Accounts Payable    | (406)           | -                | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Stock Compensation                    | 12,337          | 32,072           | 5,641           | 4,799           | 3,194           | 3,728           | 17,362           | (2,919)         | 3,461            | 9,691            | 12,471           | 22,704           | 15,465           | 29,127           | 12,000          | 12,000          | 68,592           | 12,000          | 12,000       | 12,000        | 12,000        | 48,000        |
| Amortization of ROUs                  | 111             | -                | -               | 352             | (352)           | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Deferred Tax                          | 540             | (540)            | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Other                                 | -               | 757              | 2,761           | (2,572)         | 66,117          | (11,350)        | 54,956           | (7,330)         | 120,338          | 25,220           | 6,167            | 144,395          | 11,983           | (3,107)          | -               | -               | 8,876            | -               | -            | -             | -             | -             |
| Net Cash Used in Discontinued Ops     | (10,147)        | -                | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Working Capital                       | 16,830          | 64,691           | (2,191)         | (988)           | 41,104          | (31,551)        | 6,374            | (95,755)        | (63,737)         | (12,238)         | 22,349           | (149,381)        | (96,697)         | (36,002)         | -               | -               | (132,699)        | -               | -            | -             | -             | -             |
| <b>Cash From Operating</b>            | <b>(871)</b>    | <b>58,735</b>    | <b>2,217</b>    | <b>6,839</b>    | <b>38,840</b>   | <b>(37,314)</b> | <b>10,582</b>    | <b>(75,890)</b> | <b>(52,264)</b>  | <b>5,897</b>     | <b>6,855</b>     | <b>(115,402)</b> | <b>(82,023)</b>  | <b>(15,845)</b>  | <b>(45,845)</b> | <b>(36,942)</b> | <b>(180,655)</b> | <b>(36,942)</b> | <b>9,343</b> | <b>19,859</b> | <b>21,058</b> | <b>13,318</b> |
| Property & Equipment                  | (58,251)        | (128,721)        | (32,591)        | (13,239)        | (41,166)        | (54,813)        | (141,809)        | (54,798)        | (171,049)        | (257,493)        | (198,263)        | (681,603)        | (249,420)        | (552,070)        | -               | -               | (801,490)        | -               | -            | -             | -             | -             |
| Deposit on Equipment                  | 3,277           | (2,557)          | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Other                                 | 9,103           | (810)            | (7,950)         | (11,828)        | (15,744)        | 4,895           | (30,627)         | 22,192          | (3,884)          | (646)            | (3,713)          | 13,949           | -                | (17,000)         | -               | -               | (17,000)         | -               | -            | -             | -             | -             |
| <b>Cash From Investing</b>            | <b>(45,871)</b> | <b>(132,088)</b> | <b>(40,541)</b> | <b>(25,067)</b> | <b>(56,910)</b> | <b>(49,918)</b> | <b>(172,436)</b> | <b>(32,606)</b> | <b>(174,933)</b> | <b>(258,139)</b> | <b>(201,976)</b> | <b>(667,654)</b> | <b>(249,420)</b> | <b>(569,070)</b> | <b>-</b>        | <b>-</b>        | <b>(818,490)</b> | <b>-</b>        | <b>-</b>     | <b>-</b>      | <b>-</b>      | <b>-</b>      |
| <b>Cash From Financing</b>            | <b>81,291</b>   | <b>70,628</b>    | <b>23,663</b>   | <b>23,949</b>   | <b>24,416</b>   | <b>74,729</b>   | <b>146,757</b>   | <b>163,365</b>  | <b>455,219</b>   | <b>198,887</b>   | <b>57,215</b>    | <b>874,686</b>   | <b>322,236</b>   | <b>2,766,570</b> | <b>-</b>        | <b>-</b>        | <b>-</b>         | <b>-</b>        | <b>-</b>     | <b>-</b>      | <b>-</b>      | <b>-</b>      |
| <b>Change in Cash</b>                 | <b>34,549</b>   | <b>(2,725)</b>   | <b>(14,661)</b> | <b>5,721</b>    | <b>6,346</b>    | <b>(12,503)</b> | <b>(15,097)</b>  | <b>54,869</b>   | <b>228,022</b>   | <b>(53,355)</b>  | <b>(137,906)</b> | <b>91,630</b>    | <b>(9,207)</b>   | <b>2,181,655</b> | <b>-</b>        | <b>-</b>        | <b>-</b>         | <b>-</b>        | <b>-</b>     | <b>-</b>      | <b>-</b>      | <b>-</b>      |
| <b>BALANCE SHEET</b>                  |                 |                  |                 |                 |                 |                 |                  |                 |                  |                  |                  |                  |                  |                  |                 |                 |                  |                 |              |               |               |               |
| Cash & Equivalents                    | 46,299          | 43,574           | 5,942           | 9,217           | 4,435           | 3,339           | 3,339            | 58,215          | 286,237          | 254,224          | 41,552           | 41,552           | 73,911           | 2,118,557        | -               | -               | -                | -               | -            | -             | -             | -             |
| Accounts Receivable                   | 227             | 82               | 27              | 307             | 225             | 3,847           | 3,847            | 2,298           | 21,342           | 14,619           | 3,043            | 3,043            | 29,134           | 13,345           | -               | -               | -                | -               | -            | -             | -             | -             |
| Prepaid Expenses, Other               | 2,785           | 2,103            | 2,308           | 1,517           | 6,127           | 23,076          | 23,076           | 23,597          | 20,809           | 5,416            | 9,430            | 9,430            | 188,491          | 272,012          | -               | -               | -                | -               | -            | -             | -             | -             |
| Current Assets from Discontinued      | -               | -                | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Crypto assets                         | -               | -                | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Operating Lease Assets                | 1,110           | 1,290            | 11,183          | 73,373          | 95,429          | 153,611         | 153,611          | 147,148         | 140,583          | 153,434          | 960              | 960              | 810              | 656              | -               | -               | -                | -               | -            | -             | -             | -             |
| Finance Lease Assets                  | 5,298           | 14,303           | 55,691          | 95,199          | 189,627         | 218,683         | 218,683          | 200,649         | 261,452          | 235,203          | 17,820           | 17,820           | 16,893           | 1,532            | -               | -               | -                | -               | -            | -             | -             | -             |
| ROUs                                  | 6,408           | 15,593           | 66,874          | 168,572         | 285,056         | 372,294         | 372,294          | 347,797         | 402,035          | 388,637          | 18,780           | 18,780           | 17,703           | 2,188            | -               | -               | -                | -               | -            | -             | -             | -             |
| Deposit on Equipment                  | -               | -                | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Other                                 | -               | 7,012            | 51,336          | 42,533          | 136,153         | 19,930          | 19,930           | 27,576          | 40,082           | 42,245           | 521,444          | 521,444          | 627,981          | 821,792          | -               | -               | -                | -               | -            | -             | -             | -             |
| Property and Equipment                | 64,260          | 195,593          | 222,666         | 258,508         | 211,172         | 340,381         | 340,381          | 478,249         | 772,664          | 1,002,206        | 1,275,841        | 1,275,841        | 1,461,775        | 2,001,450        | -               | -               | -                | -               | -            | -             | -             | -             |
| <b>Total Assets</b>                   | <b>119,979</b>  | <b>263,957</b>   | <b>349,153</b>  | <b>480,654</b>  | <b>643,168</b>  | <b>762,867</b>  | <b>762,867</b>   | <b>937,732</b>  | <b>1,543,169</b> | <b>1,707,347</b> | <b>1,870,090</b> | <b>1,870,090</b> | <b>2,398,995</b> | <b>5,229,344</b> | <b>-</b>        | <b>-</b>        | <b>-</b>         | <b>-</b>        | <b>-</b>     | <b>-</b>      | <b>-</b>      | <b>-</b>      |
| Accounts Payable                      | 13,244          | 14,776           | 16,229          | 38,262          | 93,918          | 116,117         | 116,117          | 140,264         | 192,017          | 170,517          | 247,528          | 247,528          | 172,823          | 92,911           | -               | -               | -                | -               | -            | -             | -             | -             |
| Accrued Liabilities                   | -               | -                | 10,443          | 10,538          | 27,545          | 26,282          | 26,282           | 26,723          | 31,625           | 19,268           | 29,549           | 29,549           | 182,948          | 207,454          | -               | -               | -                | -               | -            | -             | -             | -             |
| Operating Lease Liability             | 813             | -                | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Finance Lease Liability               | 437             | -                | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Lease Liability                       | 6,314           | 15,381           | 59,922          | 140,764         | 232,524         | 302,416         | 302,416          | 282,184         | 319,825          | 304,542          | 14,721           | 14,721           | 12,871           | 2,111            | -               | -               | -                | -               | -            | -             | -             | -             |
| Customer Deposits                     | 9,524           | 36,370           | 36,370          | 40,644          | 32,410          | 13,819          | 13,819           | 13,676          | 16,125           | 16,125           | 16,125           | 16,125           | 16,125           | 16,752           | -               | -               | -                | -               | -            | -             | -             | -             |
| Debt                                  | 7,230           | 76,429           | 44,045          | 42,780          | 61,786          | 125,390         | 125,390          | 113,119         | 479,585          | 689,126          | 688,156          | 688,156          | 687,339          | 2,606,566        | -               | -               | -                | -               | -            | -             | -             | -             |
| Deferred Revenue                      | 3,877           | 48,692           | 51,834          | 52,004          | 64,408          | 37,674          | 37,674           | 16,867          | 6,187            | 4,879            | -                | -                | 626              | 29,444           | -               | -               | -                | -               | -            | -             | -             | -             |
| Deferred Tax                          | 540             | -                | 62              | 4               | -               | -               | -                | -               | -                | -                | -                | -                | -                | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| Other                                 | 17              | 2,630            | -               | -               | 12,089          | 16,339          | 16,339           | 47,771          | 7,451            | 5,023            | 240,286          | 240,286          | 217,649          | 202,287          | -               | -               | -                | -               | -            | -             | -             | -             |
| <b>Total Liabilities</b>              | <b>40,746</b>   | <b>194,278</b>   | <b>218,905</b>  | <b>324,996</b>  | <b>524,680</b>  | <b>638,037</b>  | <b>638,037</b>   | <b>640,604</b>  | <b>1,052,815</b> | <b>1,209,480</b> | <b>1,236,365</b> | <b>1,236,365</b> | <b>1,291,008</b> | <b>3,157,525</b> | <b>-</b>        | <b>-</b>        | <b>-</b>         | <b>-</b>        | <b>-</b>     | <b>-</b>      | <b>-</b>      | <b>-</b>      |
| Stockholders' Equity                  | 72,257          | 59,517           | 130,248         | 155,658         | 118,488         | 124,830         | 124,830          | 297,128         | 490,354          | 454,648          | 497,688          | 497,688          | 1,044,260        | 1,554,847        | -               | -               | -                | -               | -            | -             | -             | -             |
| Noncontrolling Interest               | 6,976           | 10,162           | -               | -               | -               | -               | -                | -               | -                | -                | -                | -                | -                | 516,972          | -               | -               | -                | -               | -            | -             | -             | -             |
| Temporary Equity                      | -               | -                | -               | -               | -               | -               | -                | -               | -                | 43,219           | 136,037          | 136,037          | 63,728           | -                | -               | -               | -                | -               | -            | -             | -             | -             |
| <b>Total Liabilities &amp; Equity</b> | <b>119,979</b>  | <b>263,957</b>   | <b>349,153</b>  | <b>480,654</b>  | <b>643,168</b>  | <b>762,867</b>  | <b>762,867</b>   | <b>937,732</b>  | <b>1,543,169</b> | <b>1,707,347</b> | <b>1,870,090</b> | <b>1,870,090</b> | <b>2,398,996</b> | <b>5,229,344</b> | <b>-</b>        | <b>-</b>        | <b>-</b>         | <b>-</b>        | <b>-</b>     | <b>-</b>      | <b>-</b>      | <b>-</b>      |
| <b>RATIOS</b>                         |                 |                  |                 |                 |                 |                 |                  |                 |                  |                  |                  |                  |                  |                  |                 |                 |                  |                 |              |               |               |               |
| Free Cash Flow                        | (59,122)        | (69,986)         | (30,374)        | (6,400)         | (2,326)         | (92,127)        | (131,227)        | (130,688)       | (223,313)        | (251,596)        | (191,408)        | (797,005)        | (331,443)        | (567,915)        | (45,845)        | (36,942)        | (982,145)        | (36,942)        | 9,343        | 19,859        | 21,058        | 13,318        |
| Book Value/Share                      | \$ 1.26         | \$ 0.63          | \$1.30          | \$1.42          | \$0.98          | \$1.00          | \$ 1.09          | \$1.99          | \$2.34           | \$2.04           | \$2.22           | -                | \$3.44           | \$5.60           | -               | -               | -                | -               | -            | -             | -             | -             |
| Net Cash/Share                        | \$ 0.68         | \$ (0.35)        | (\$0.38)        | (\$0.31)        | (\$0.47)        | (\$0.98)        | \$ (1.07)        | (\$0.37)        | (\$0.92)         | (\$1.96)         | (\$2.88)         | -                | (\$2.40)         | (\$1.76)         | -               | -               | -                | -               | -            | -             | -             | -             |
| Debt/Capital                          | 8%              | 52%              | 25%             | 22%             | 34%             | 50%             | 50%              | 28%             | 49%              | 60%              | 58%              | -                | 40%              | 56%              | -               | -               | -                | -               | -            | -             | -             | -             |

## Required Disclosures

### Ratings definitions:

**Buy** rated stocks generally have twelve month price targets that are more than 20% above the current price. **Hold** rated stocks generally have twelve month price targets near the current price. **Sell** rated stocks generally have no price target and we would sell the stock.

### Ratings Distribution (2/24/2026)

|      | Percent | IB Percent |
|------|---------|------------|
| Buy  | 84%     | 24%        |
| Hold | 15%     | 7%         |
| Sell | 0%      | 0%         |

Information about valuation methods and risks can be found in the “Stock Opportunity” and “Risks” sections, respectively, of this report.

### Company-Specific Disclosures

CHLM has performed investment banking services for the subject company Applied Digital Corporation in the last 12 months.

CHLM has received investment banking revenue from the subject company Applied Digital Corporation in the last 12 months.

CHLM makes a market in this security APLD.

CHLM expects to receive or intends to seek compensation for investment banking services from the subject company Applied Digital Corporation in the next three months.

Analyst George Sutton, Logan Lillehaug receives no direct compensation in connection with the firm’s investment banking business.

Analyst George Sutton, Logan Lillehaug may be eligible for bonus compensation based on the overall profitability of the firm, which takes into account revenues from all of the firm’s business, including investment banking.

### Applied Digital Corporation Rating History as of 02/23/2026



Source: FactSet

Although the statements of fact in this report have been obtained from and are based upon recognized statistical services, issuer reports or communications, or other sources that Craig-Hallum believes to be reliable, we cannot guarantee their accuracy. All opinions and estimates included in this report constitute Craig-Hallum's judgment as of the date of this report and are subject to change without notice. Craig-Hallum may effect transactions as principal or agent in the securities mentioned herein. The securities discussed or recommended in this

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### **Regulation AC Certification**

I, George Sutton and Logan Lillehaug, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject security and issuer. No part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views contained herein.